

How does it work and how secure is it?

According to Apple, using Apple pay is very 'easy, secure, and private'

So how exactly does it work and what makes it so secure?

Every card that is scanned and added to your wallet to be used for Apple Pay, is assigned a unique number called a 'token' which is stored in the phone instead of your card details.

iPhones have a dedicated chip on board called 'Secure Element' that encrypts and stores a number of private user information including the credit card details, and the unique token. None of this is uploaded onto your iCloud accounts or Apple's servers. Every time a transaction is going to be made, the token along with a dynamic security code (unique to each transaction) is shared with the reader via NFC. The dynamic security code ensures that the transaction is being done via the original device containing the Token.

To finally authenticate the transaction TouchID is used which ensures that it is you who is using the device. In case you are using an Apple Watch, something called Skin contact is used to ensure that the device is with the original owner. How this works is that every time you wear your Apple Watch you are asked to enter a pass code and as long as the device maintains a contact with your skin (monitored using heart rate sensors), you can make transactions through it.

Where can you use it?

Apple Pay can be used primarily in 2 ways – for physical transactions at stores and online for in-app purchases or web based transactions on your apple devices.

Apple Pay was initially launched exclusively in USA, followed by releases in UK, Canada, Australia, Russia, Italy, France, China, Japan and a few other countries across the globe bringing the number up to 15. It supports all major credit and debit card providers in the USA and most of the big banks across the globe including, American Express, Bank of America, Chase Citi, Barclays and American Express.

Apple Pay has moved into many Asian countries over the last year, but still Apple hasn't announced any dates for its launch in India. Tim Cook, the Apple CEO had met ICICI bank CEO, Chanda Kochar, during his India visit earlier this year but in an interview, he said that Apple is still trying to figure out the Indian market. Though with Samsung Pay recently launched in India, it should be safe to assume that Apple will be bringing Pay to India soon.